

Insights into Opportunity Zone Project Types

Takeaways from Ohio to Inform 2026 Zone Selection

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The One Big Beautiful Bill Act of 2025 directs governors to select a new set of Opportunity Zones (OZs) from eligible census tracts—a significant responsibility given that OZs have become the nation’s largest economic development program (Theodos et al. forthcoming; Theodos, Evans, and Meixell 2019). While these choices should be guided by lessons from the first round of designations, minimal federal reporting requirements mean there is little to no systematic evidence of where OZ capital has flowed. Ohio offers a rare exception: its state-level tax incentive for OZ investments requires applicants to report basic transaction-level data.¹

We analyzed these data to understand what kinds of projects are being financed through OZs, what those trends reveal about how the incentive is being used, and what lessons governors can draw as they prepare to designate new Opportunity Zones by July 2026. Our key findings about OZ project types were as follows:

- The most frequent project type supported by OZ capital in Ohio was residential (predominately rental and multifamily). Sixty-four percent of OZ capital went to projects that were residential in part or full, including mixed use projects.
- One-fifth of OZ capital in Ohio supported commercial projects, including shopping centers and eateries, and 6 percent went toward industrial projects such as manufacturing facilities, distribution centers, and warehouses.
- Ohio OZ investments finance predominantly market-rate residential units.
- The rent for 78 percent of units in multifamily developments receiving OZ investment exceed the median rent of the census tract.

These data points suggest that governors should keep the following in mind when selecting OZs:

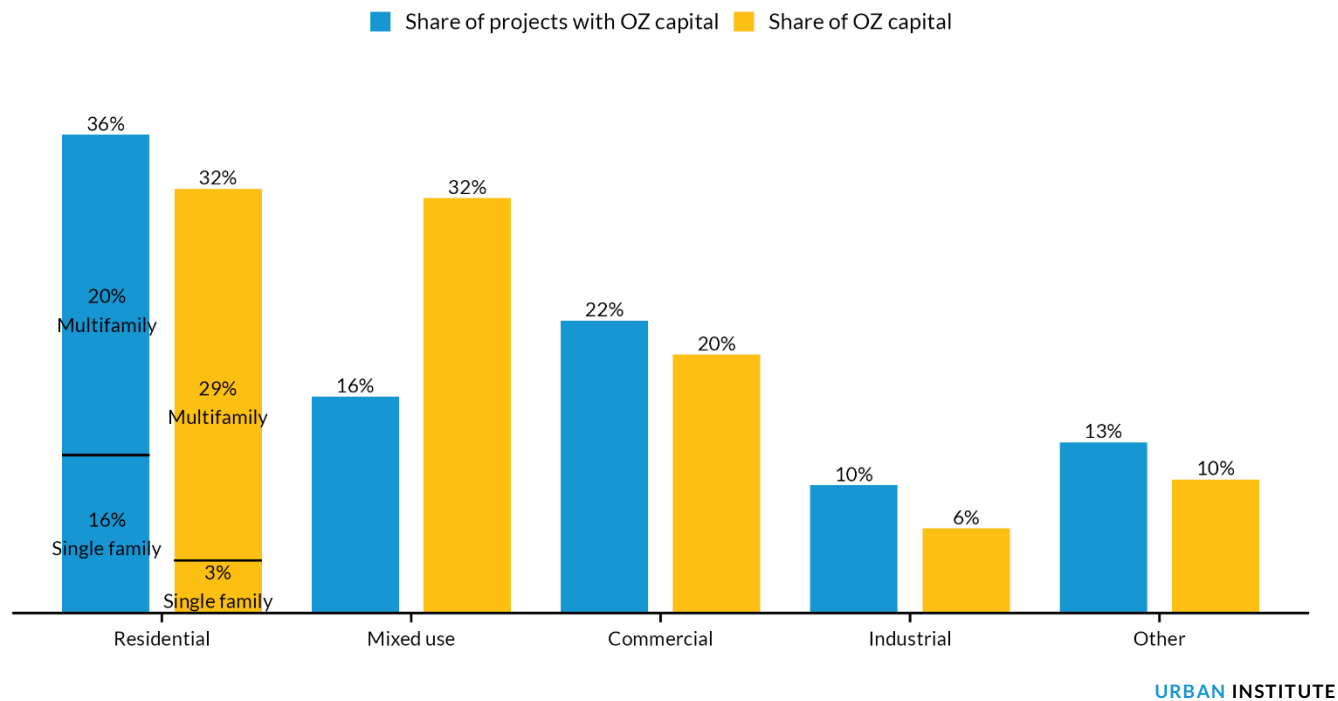
- Governors should fundamentally conceptualize this program as a way to drive market-rate residential and mixed-use construction. They should select tracts well-positioned for this investment and avoid tracts that already attract this investment absent this subsidy.
- Governors should carefully consider the land-use patterns, rent levels, transit links, recent or latent investor demand, and resident income levels of eligible census tracts.
- Governors should consider current housing stock, median rent, and recent appreciation of areas in their selection process. Tracts should be selected with a careful eye toward avoiding pricing out current neighborhood residents.

Ohio’s Opportunity Zone Projects Were Mostly Market Rate Multifamily and Commercial

Of the OZ projects in Ohio over this period, nearly two-thirds (64 percent) of OZ funds supported residential projects in full (figure 1). This includes mixed-use projects, which were roughly half the total of OZ capital invested. Single-family (i.e., one- to four-unit) buildings represented 3 percent of capital.² One-fifth (20 percent) of OZ capital

went toward commercial developments and 6 percent went toward industrial projects. Ten percent of OZ capital went toward projects we classify as other project types, including hospitality, health care, storage, or vacant land (figure 1).

FIGURE 1
Ohio OZ Project Type Distribution by Share of OZ Capital between 2020 and 2024



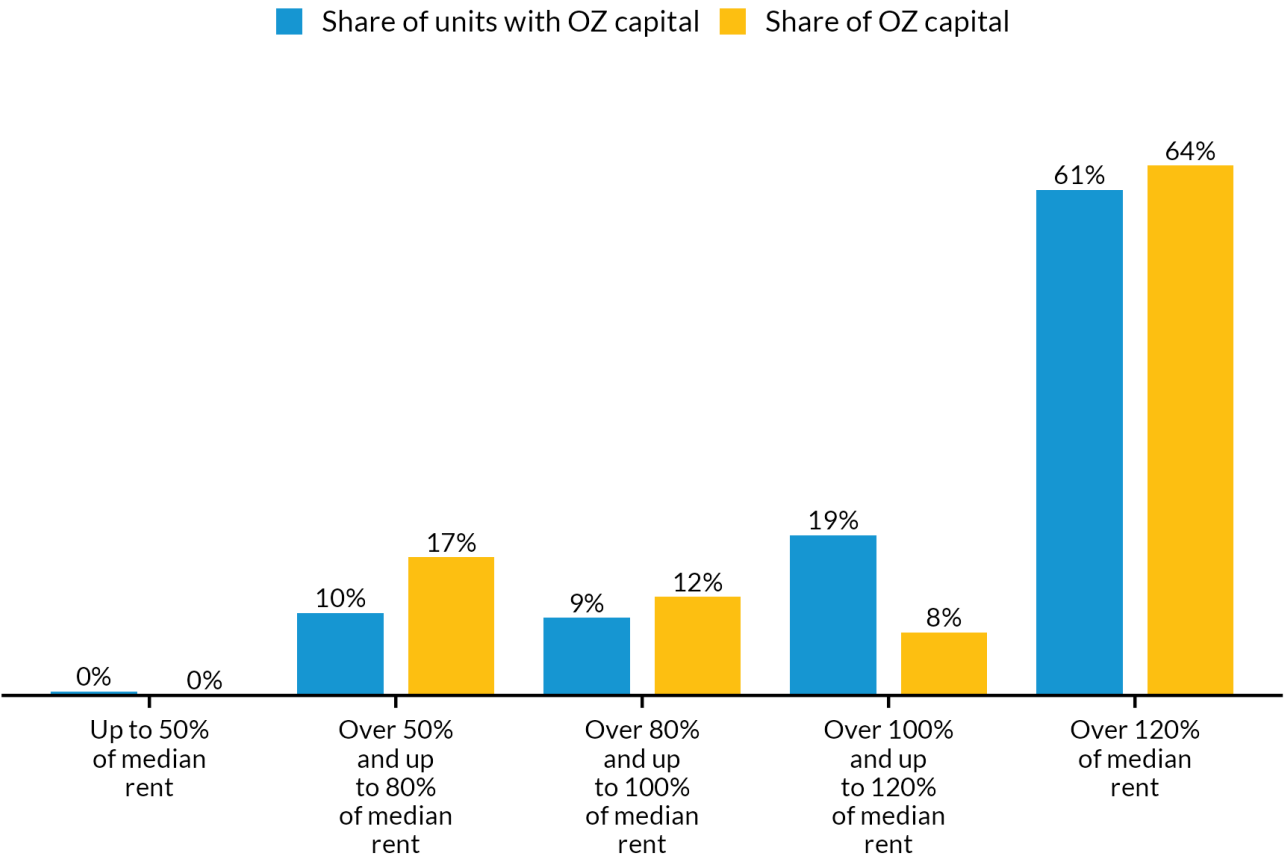
Source: Authors' analysis of Ohio Opportunity Zone data; CoStar data; authors' desk research of projects by address.
Note: OZ = Opportunity Zones

Concerns were raised early in the life of Opportunity Zones that they would lead to gentrification (Kurban et al. 2022; Looney 2018); however, subsequent research has not definitively linked the program with property price increases (Chen, Glaeser, and Wessel 2023). To explore how far below or above local market rents the program is delivering housing, we compare the rents of OZ units to the average median rent of their respective census tracts.

We find the vast majority of units produced using OZ capital exceed the median rent of housing in their census tract.³ Over three-fourths (80 percent) of units' rents are greater than the median tract rent (i.e., 100 percent of median tract rent).⁴ Of all OZ units, less than 0.5 percent are priced below 50 percent of the tract median rent, and 10 percent rent at prices over 50 percent and up to 80 percent. Nine percent of units have rents that are over 80 percent and up to 100 percent of the tract median. Nineteen percent of OZ units rent at levels that are over 100 percent and up to 120 percent of the tract median rent. The largest category of units, 61 percent, rent for over 120 percent of the median tract rent (figure 2). When only units within designated OZs are considered, these skew less affordable relative to median rent, with 20 percent of units over 100 and up to 120 percent of tract median rent, and 67 percent of units over 120 percent of the median tract rent (figure 2).

FIGURE 2

Rent of Ohio Residential Units Produced Using Opportunity Zone Capital Compared with Median Rent of Census Tracts



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Source: Authors' analysis of Ohio Opportunity Zone data; CoStar data; authors' research of projects and real estate listings by address; and 2019–23 American Community Survey data.

Notes: For developments without number of units by bedroom size, we apportioned equal shares of units to each bedroom size available to rent in Spring/Summer 2025. Where no rent data was available, we used Zillow Zestimates data. We excluded any properties we could not find rent data or Zestimates data for. Unrounded percentages sum to 100.

As we observed in previous research, OZs often need to be paired with other subsidy sources to generate affordable housing (Theodos et al. 2020). As one OZ project sponsor told us, “The more socially impactful the project, the more the need for subsidy [beyond OZ incentives].” Another project sponsor said, “The only way to create really deep impact is by twinning incentives.” However, the limited prevalence of affordable housing in OZ residential projects suggests that this is rarely feasible or attractive to investors. In interviews, developers and investors said that combining OZ capital with other tools is challenging because other subsidy programs like New Markets Tax Credits and Low-Income Housing Tax Credits impose timelines that may not align well with OZs, may seek debt rather than equity investments, or are not necessarily poised to generate significant nontax returns, while OZ incentives are most valuable when the project generates a substantial internal rates of return (Theodos et al. 2020).

In Ohio (as is largely true across the country), the affordable housing generated in an OZ project in most cases draws on multiple other subsidy sources—OZ capital alone is not adequate to generate affordable units. Other subsidy sources include Low-Income Housing Tax Credits and the US Department of Housing and Urban Development’s HOME Investments Partnership Program.

What These Findings Mean for Future Opportunity Zone Selection

Governors are now tasked with nominating new census tracts as Opportunity Zones. The recent extension of OZs made some changes to the program, notably to provide incentives to invest in rural areas, but governors should largely expect that investors will seek to deploy investments into similar types of projects as in the first round.⁵ Although the OZ program was initially presented as a tool to expand equity investing into businesses,⁶ it has largely morphed into a real estate development tool. OZ activity in Ohio suggests that the program thus far has been largely used for market-rate residential construction, together with commercial and industrial development. As such, governors should carefully consider which geographies are both best primed for and in need of market accelerant to induce market rate residential and/or commercial and industrial real estate development. Governors can further understand this by looking at the land-use patterns, rent levels, transit links, recent or latent investor demand, and underlying resident economic characteristics of eligible census tracts. For instance, a tract with land zoned for multifamily use surrounding a transit hub that demonstrates some degree of market activity but is still thought to be underinvested in could be a prime area for designation.

To maximize the OZ program’s impact in their state, governors should consider two central goals: (1) identifying Goldilocks places that have the viable potential to attract the mostly market-driven investment the program generates while also not being so attractive to investors that the tracts don’t need additional subsidy; and (2) given the program’s track record of producing housing units above neighborhood median rent, exercising caution of tracts at-risk of substantial gentrification where designation may further accelerate displacement.

About the Data

We obtained project-level OZ data through the State of Ohio’s Department of Development. These data include Opportunity Zone projects in Ohio that accessed the state’s conforming tax incentive. The data were available for 2020–24; however, in cleaning these data we found that years 2021 and 2022 were largely duplicate projects (often with the same funding amounts). For projects appearing in both years’ data, we only included a single observation (if project funding amounts were different, we kept the larger amount).

To associate project types and rents with the address data, we matched addresses with CoStar data and used their corresponding project type variable and rent. For addresses that did not have corresponding CoStar entries, we made phone calls and conducted desk research to assign the appropriate project type and rent if available online.

Notes

¹ Some OZ projects in Ohio may be excluded from this analysis if they did not take advantage of the conforming state tax incentive.

² We follow Federal Housing Administration definitions of single-family, one to four units.

³ When an apartment building had multiple rent values for the same unit size, we took the average.

⁴ Units appear even less affordable when compared to Fair Market Rent (compiled at the county level), with 87 percent of units and 89 percent of capital above FMR.

⁵ We investigate the geographic distribution of OZ investment in a separate brief (Theodos et al. 2025).

⁶ For example, see the characterization of the program at the May 17 2018 testimony before the US Congressional Joint Economic Committee, <https://www.congress.gov/event/115th-congress/senate-event/LC58141/text>.

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